

25STCV20005 25STCV20005

County: los-angeles

Division: Civil Law and Motion

Department: 316

Hearing date: 2026-06-30

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Case Number: 25STCV20005 Hearing Date: June 30, 2026 Dept: 316

BACKGROUND

Plaintiff Fabric Junctions,

Inc. alleges that Defendants Fabric Junction Co. Ltd., Manit Rattanakrathi, Den Enterprises, Inc., Fred Nehorayan, and Blue Ocean Industries, Inc. improperly cut it out of a third-party relationship in which Plaintiff served as the intermediary. Because of this, Plaintiff asserts it was not paid thousands of dollars in commission.

On July 7, 2025, Plaintiff filed

its original complaint against Defendants. The original complaint alleged twelve causes of action: (1) Breach of Oral Agreement; (2) Breach of Oral Agreement; (3) Breach of Implied Covenant of Good Faith and Fair Dealing; (4) Fraudulent Concealment; (5) Conversion; (6) Intentional Interference with Prospective Economic Advantage; (7) Intentional Interference with Contract; (8) Unfair Business Practices; (9) Promissory Estoppel; (10) Unjust Enrichment; (11) Constructive Trust; and (12) Accounting.

On March 19, 2026, the Court

issued a Minute Order sustaining Defendants' demurrer in part and overruling in part.

On April 8, 2026, Plaintiff

filed a first amended complaint ("FAC"). The FAC alleges nine causes of action: (1) Breach of Oral Agreement; (2) Breach of Oral Agreement; (3) Breach of Implied Covenant of Good Faith and Fair Dealing; (4) Fraudulent Concealment; (5) Intentional Interference with Prospective Economic Advantage; (6) Intentional Interference with Contract; (7) Unfair Business Practices; (8) Promissory

Estoppel; and (9) Accounting.

On May 29, 2025, Defendants
filed a demurrer as to causes of action one through eight in Plaintiff's FAC.

On June 12, 2026, Plaintiff
filed an opposition.

On June 23, 2026, Defendants
filed a reply.

TENTATIVE RULING

Defendant's
demurrer to the fourth, fifth and sixth causes of action is SUSTAINED
without leave to amend as to Defendants Rattanarathi and FJCL only and OVERRULED
as to the other Defendants.

Defendants'
demurrer to the first, second, third, seventh and eighth causes of action is OVERRULED.

REQUEST FOR JUDICIAL NOTICE

Plaintiff
requests the Court take judicial notice of three exhibits: (1) its Verified
Complaint filed on July 7, 2025; (2) Defendants' Demurrer to the Verified
Complaint; and (3) the Court's March 19, 2026 Minute Order regarding
Defendant's Demurrer to the Verified Complaint.

All
these exhibits are records of the Court. Therefore, the Court will take
judicial notice of the filing of each of these documents under Evidence Code
section 452, subdivision (d)(1).

LEGAL STANDARD

"[A]

demurrer tests the legal sufficiency of the allegations in a complaint.” (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (See Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (See Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where

a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully.

(See *ibid.*; see

also Lewis v. YouTube, LLC (2015)

244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

DISCUSSION

I.

Meet

and Confer

Before

filing a demurrer, the demurring or moving party shall meet and confer with the party who has filed the pleading in person, by telephone, or by video conference. (See Code Civ. Pro. § 430.41, subd. (a).) Furthermore, the demurring or moving party must file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).)

Here, the parties discussed the demurrer by telephone. (See Alavi Decl., ¶ 3.) Therefore, the meet and confer requirement has been satisfied. (See Code Civ. Proc., § 430.41, subd. (a).)

II.

Estopped

from New Challenges to Existing Causes of Action

The

Court holds that Defendants are estopped from demurring to Plaintiff's first, second and eighth causes of action. Accordingly, the demurrer to these causes of action is OVERRULED. Furthermore, Defendants are estopped from raising a statute of limitation challenge against other causes of action that could have been raised in the prior demurrer and was not.

"A

party demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer." (Code Civ. Proc., § 430.31, subd. (b).)

Here,

Plaintiff's original complaint alleged twelve causes of action: (1) Breach of Oral Agreement; (2) Breach of Oral Agreement; (3) Breach of Implied Covenant of Good Faith and Fair Dealing; (4) Fraudulent Concealment; (5) Conversion; (6) Intentional Interference with Prospective Economic Advantage; (7) Intentional Interference with Contract; (8) Unfair Business Practices; (9) Promissory Estoppel; (10) Unjust Enrichment; (11) Constructive Trust; and (12) Accounting. (See RJN, Exh. 1.) Defendants' demurrer to Plaintiff's original complaint included a general demurrer that was overruled and specifically demurred to the third through eighth and tenth through twelfth causes of action. (See RJN, Exh. 2, Exh. 3, at p. 3.) There was no specific demurrer to the first, second and ninth causes of action.

Plaintiff's

FAC alleges nine causes of action: (1) Breach of Oral Agreement; (2) Breach of Oral Agreement; (3) Breach of Implied Covenant of Good Faith and Fair Dealing; (4) Fraudulent Concealment; (5) Intentional Interference with Prospective

Economic Advantage; (6) Intentional Interference with Contract; (7) Unfair Business Practices; (8) Promissory Estoppel; and (9) Accounting. (See FAC, p. 1.) In their demurrer to the FAC, Defendants target each of the first through eighth causes of action. (See Demurrer, pp. 3:15-5:3.)

As

noted, Defendants did not originally bring a special demurrer to Plaintiff's first two causes of action for breach of oral agreement nor the ninth cause of action for promissory estoppel, and their general demurrer was overruled. (See RJN, Exh. 2, Exh. 3 at p. 3.) Defendants now specially demur to each of these three causes of action. This is prohibited by Code of Civil Procedure Section 430.31 because Defendants had an opportunity to demur to these three causes of action in their original demurrer and did not. Defendants cannot now demur to these causes of action in the FAC on grounds that could have been raised in the prior demurrer. (See Code Civ. Proc., § 430.31, subd. (b).) For these reasons, the demurrer to the first, second and eighth causes of action is OVERRULED.

Second,

Defendants raise new a new statute of limitations ground for demurrer that they did not raise in their original demurrer. In addition to the first, second and eight causes of action discussed above, Defendants demur to the third through sixth causes of action based on a statute of limitations defense. (See Demurrer, at p. 4:1-2, 7-8, 13-14 and 19-20.) Defendants did not raise any statute of limitations argument in the prior demurrer.

In their

reply brief, Defendants contend that these new arguments could not have been raised earlier because "the statute of limitations arguments were not ascertainable from the original complaint in the same manner they now are from the [FAC]." (Reply, p. 4:6-8.) Defendants' statute of limitation arguments assert that the causes of action accrued in 2022, or sometime late 2022/early 2023, because that is when Defendants allegedly stopped wiring payments and providing the receivable list. (See Demurrer, pp. 7:25-9:9, citing the FAC at ¶¶ 22 and 24.) However, Plaintiff alleged these same facts in the same paragraphs in its original complaint. (See RJN, Exh. 1, ¶¶ 22 and 24.) Therefore, given that the same facts were alleged in the original complaint, Defendants could have raised the statute of limitations argument earlier and did not. Their attempt to explain away their failure to do so as based on new allegations in the FAC is misleading at best.

Accordingly,

the statute of limitations arguments introduced by Defendants as a basis for demurring to the third through sixth causes of action in the FAC shall not be considered by the Court as that argument could have been made in the prior demurrer and was not. (See Code Civ. Proc., § 430.31, subd. (b).)

III.

3rd

Cause of Action: Breach of Implied Covenant of Good Faith and Fair Dealing

Defendants

contend that this cause of action is subject to demurrer because it “does nothing more than allege a mere contract breach and, relies on the same alleged acts.” (Demurrer, p. 11:13-14.) However, Defendants unsuccessfully raised this same argument in its original demurrer. (See RJN, Exh. 2, p. 6:15-29; see also id. at Exh. 3, pp. 3-4.) Because the operative alleged facts related to this argument have not changed, the Court finds no basis to change its prior ruling on this argument.

Accordingly,

the demurrer to this cause of action is OVERRULED.

IV.

4th

Cause of Action: Fraudulent Concealment

Defendants

contend that this cause of action is subject to demurrer because it is barred by the economic loss rule. (Demurrer, pp. 12:24-14:17.) In its prior Minute Order, the Court agreed that this cause of action was barred by the economic loss rule as it related to Defendants Rattanarathi and FJCL. The Court found that Plaintiff did not allege any injury separate from the alleged breach of contract as it related to Defendants Rattanarathi and FJCL. (See RJN, Exh. 3, pp. 4-5.)

The

FAC alleges that Defendants Rattanarathi and FJCL failed to uphold their contractual obligation, thus costing Plaintiff over \$130K in unpaid commissions. (See FAC, ¶ 29.) However, Plaintiff again fails to allege any independent injury separate from purported contractual arrangements. Plaintiff does allege that it

completed additional acts beyond the scope of their agency relationship, which it was unpaid for. (See FAC, ¶ 51.) However, nonpayment for these additional, separate acts done at Defendants' request do not stem from Defendants' alleged tort. Therefore, these alleged unpaid services are not an independent injury resulting from the alleged fraud.

The

Court finds that Plaintiff has again failed to allege any independent injury separate from the independent fraud as it relates to Defendants Rattanarathi and FJC. Because Plaintiff has not proffered any additional facts it could allege to cure this defect if given another opportunity to amend, the demurrer to this cause of action as it relates to Defendants Rattanarathi and FJC is SUSTAINED without leave to amend. The demurrer is overruled as to Defendants DEI and Nehorayan for the same reason as the prior demurrer was overruled as to those defendants. (See RJN, Exh. 3, p. 6; FAC, ¶ 52.)

V.

5th

Cause of Action: Intentional Interference with Prospective Economic Advantage

Defendants

contend that this cause of action is subject to demurrer because it is barred by the economic loss rule. (Demurrer, p. 14:27.) In its prior Minute Order, the Court agreed that this cause of action was barred by the economic loss rule as it related to Defendants Rattanarathi and FJCL. The Court stated that "Plaintiff has not alleged an independent injury from the purported tort, separate from the alleged damage caused by the breach of contract by Defendants Rattanarathi and FJCL." (RJN, Exh. 3, p. 6.)

In its

FAC, Plaintiff again alleges that Defendants Rattanarathi's and FJCL's conduct jeopardized "future economic benefit." (See FAC, ¶ 60.) However, as before, the "actual damages Plaintiff asserts are the identical damages as Plaintiff alleges resulted from the breach of contract claims [(i.e., unpaid commissions)]." (RJN, Exh. 3, p. 7; see FAC, ¶ 64.) Put another way, the \$131,422.63 in alleged lost commissions came from Defendants Rattanarathi's and FJCL's failure to pay all allegedly owed commissions; it was not a "future economic benefit." Furthermore, the allegedly unpaid "up to \$135,000 in further financial losses according to proof" comes from previous services allegedly requested by Defendants and not paid for. (See FAC, ¶ 33.) Therefore, this figure was also not a

“future economic benefit.”

Plaintiff

has again failed to allege Defendants' purported tort caused injury separate and additional to the damage caused by the alleged breach of contract. Because Plaintiff has not proffered any additional facts it could allege to cure this defect if given another opportunity to amend, the demurrer to this cause of action as it relates to Defendants Rattanarathi and FJCL is SUSTAINED without leave to amend. The demurrer is overruled as to Defendant Blue Ocean for the same reason as the prior demurrer was overruled as to that defendant. (See RJN, Exh. 3, p. 7.)

VI.

6th

Cause of Action: Intentional Interference with Contract

The

Court holds that the demurrer to this cause of action is SUSTAINED without leave to amend.

Defendants

contend that this cause of action is subject to demurrer because it is barred by the economic loss rule. (Demurrer, p. 15:10.) In its prior Minute Order, the Court agreed that this cause of action was barred by the economic loss rule as it related to Defendants Rattanarathi and FJCL. The Court stated that “Plaintiff has not alleged an independent injury from the purported tort, separate from the alleged damage caused by the breach of contract. Again, Plaintiff has asserted the identical damages as [it] alleges resulted from the breach of contract claims.” (RJN, Exh. 3, p. 7.)

The

Court holds the same attitude as above. (See *ibid.*; see also § V.)

Plaintiff's claimed damages from this tort cause of action are the same as those caused by the alleged breach of contract. Furthermore, Plaintiff's additional claim of being owed \$135K for other additional services does not stem from the alleged tort itself. Therefore, Plaintiff has again failed to allege an independent injury from Defendants' purported tort separate from the damage caused by the alleged breach of contract. Because Plaintiff has not proffered any additional facts it could allege to cure this defect if given another opportunity to amend, the demurrer to this cause of action as it relates to

Defendants Rattanaarathi and FJCL is SUSTAINED without leave to amend. The demurrer is overruled as to Defendant Blue Ocean for the same reason as the prior demurrer was overruled. (See RJN, Exh. 3, p. 7.)

VII.

7th

Cause of Action: Unfair Business Practices

The

Court holds that the demurrer to this cause of action is OVERRULED.

Defendants

contend this cause of action is subject to demurrer because it relies upon the success of the other causes of action. (See Demurrer, p. 17:8-12.) Therefore, given that the other causes of action are unsuccessful, this cause of action must also be unsuccessful. (See *ibid.*)

The

Court agrees that this claim is predicated on key facts also used to support Plaintiff's other claims. (See FAC, ¶ 78.) However, those other claims were subject to demur on economic loss grounds. (See §§ IV-VI.) They were not subject to demurrer because they did not demonstrate any signs of fraudulent or unfair business practices. Thus, even if there is some overlap between the facts alleged to support this claim and the other claims, that does not mean this claim is automatically insufficient.

The

Court finds that Plaintiff has sufficiently alleged conduct by Defendants that forms the basis of this claim. (See FAC, ¶¶ 24-32, 78.) For this reason, the demurrer to this cause of action is OVERRULED.

CONCLUSION₂

For

the foregoing reasons, Defendant's demurrer to the fourth, fifth and sixth causes of action is SUSTAINED without leave to amend as to Defendants Rattanaarathi and FJCL only and OVERRULED as to the other Defendants.

Defendants'

demurrer to the first, second, third, seventh and eighth causes of action is OVERRULED.

Defendants are to
file and serve an answer to the FAC within twenty (20) days of the Court's
ruling.